

15-3b The Monopoly's Profit: A Social Cost?

It is tempting to decry monopolies for “profiteering” at the expense of the public. And indeed, a monopoly firm does earn a profit by virtue of its market power. According to the economic analysis of monopoly, however, the firm’s profit is not in itself necessarily a problem for society.

Welfare in a monopolized market, as in all markets, includes the welfare of both consumers and producers. Whenever a consumer pays an extra dollar to a producer because of a monopoly price, the consumer is worse off by a dollar and the producer is better off by the same amount. Because total surplus equals the sum of consumer and producer surplus, this transfer from consumers to the owners of the monopoly does not affect the market’s total surplus. In other words, the monopoly profit itself represents not a reduction in the size of the economic pie but merely a bigger slice for producers and a smaller slice for consumers. Unless consumers are for some reason more deserving than producers—a normative judgment about equity that goes beyond the realm of economic efficiency—the monopoly profit is not a social problem.

The problem, instead, is that the monopoly firm produces and sells a quantity of output below the level that maximizes total surplus. The deadweight loss measures how much the economic pie shrinks as a result. This inefficiency is connected to the monopoly’s high price: Consumers buy fewer units when the firm raises its price above marginal cost. But keep in mind that the profit earned on the units that continue to be sold is not the problem. The problem stems from the inefficiently low quantity of output. Put differently, if the high monopoly price did not discourage some consumers from buying the good, it would raise producer surplus by exactly the amount it reduced consumer surplus, leaving total surplus the same as that achieved by a benevolent social planner.

There is, however, a possible exception to this conclusion. Suppose that a monopoly firm has to incur additional costs to maintain its monopoly position. For example, a firm with a government-created monopoly might need to hire lobbyists to convince lawmakers to continue its monopoly. In this case, the monopoly may use up some of its monopoly profits paying for these additional costs. If so, the social loss from monopoly includes both these costs and the deadweight loss resulting from reduced output.

QuickQuiz

5. Compared to the social optimum, a monopoly firm chooses

- a. a quantity that is too low and a price that is too high.
- b. a quantity that is too high and a price that is too low.
- c. a quantity and a price that are both too high.
- d. a quantity and a price that are both too low.

6. The deadweight loss from monopoly arises because

- a. the monopoly firm makes higher profits than a competitive firm would.
- b. some potential consumers who forgo buying the good value it more than its marginal cost.
- c. consumers who buy the good have to pay more than marginal cost, reducing their consumer surplus.
- d. the monopoly firm chooses a quantity that fails to equate price and average revenue.

Chapter 15: Monopoly: 15-3b The Monopoly's Profit: A Social Cost?

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